

Hero MotoCorp, a survivor of 40 winters, leads the commuter segment with a commanding 77% market share, led by models like the HF Deluxe, Passion, and Splendor. It is followed at a very distant second by Bajaj Auto (10.07%), Honda Motorcycle & Scooter India (6.12%), and TVS Motor Company (6.08%).

The picture is slightly different in the mass-market segment, where Honda leads with a 40.92% market share, followed by Bajaj Auto (27.12%), Hero MotoCorp (16.98%), and TVS (14.98%).

These two segments combined account for 70% of bike sales, Bajaj said at the Freedom 125 launch in July. "Almost 650,000 [units are sold] in the 100-125 cc segment. And our share in that segment today is 150,000 units... We are targeting 700,000 units. That is the kind of opportunity that lies ahead," said Bajaj.

Analysts feel the Freedom 125 might have an incremental impact on Hero and Honda's sales, but don't expect heavy cannibalisation of existing ICE models. There's reason for that caution. The existing CNG fuelling infrastructure is rather weak and concentrated in select areas. As a result, it may cannibalise the market for Bajaj's ICE models only in areas with readily available CNG infrastructure. Other factors too will define the CNG bike's impact on the market, like the price premium of the bike and consumer acceptance.

"Bajaj has the first-mover advantage in the Indian CNG motorcycle market, which could give it a significant lead

in market share initially," says Atin Jain, Senior Research Analyst at market research firm Markets & Markets.

It's not just traditional fuels that will face the heat from CNG. The EV space, too, may feel the burn if CNG takes off in a big way. During an analyst call after the June quarter results, Bajaj Auto's Executive Director Rakesh Sharma said the firm anticipated some impact on EV sales. "Our analysis was that CNG would appeal to the longer-distance riders, people who will ride 30 km-plus per day. If you see, there has been a little bit of stagnation in the growth of the electric two-wheelers because it is largely addressing the short-distance commuter."

Should Bajaj succeed in this foray, its rivals Hero and Honda may be forced to explore alternative fuels in response. But "their core offerings should remain largely unaffected, maintaining their market dominance", says Jain.

Beyond the market leaders, Bajaj's new path has reportedly prompted TVS Motor Company, which has a very rich legacy, to explore the CNG powertrain in the two-wheeler segment.

THE ELECTRIC CHARGE

Even in the nascent landscape of electric two-wheelers, electric bikes are a rarity. Only start-ups have entered this space. And the numbers show that it has a long way to go. According to the VAHAN database, electric motorcycles account for just 1% of total motorbike sales. There are just

THE BATTLE OF THE BIKES

1 **Competition is heating up across segments in the Indian motorcycle market**

2 **Newer battlefields are cropping up with advances in technology, like the electric bike and CNG segments**

3 **Bajaj Auto's Freedom 125, the first CNG bike, poses a competitive threat to legacy manufacturers, potentially eating into ICE vehicles' share**

4 **Mahindra & Mahindra-backed Classic Legends, through brands like Jawa and Yezdi, is looking to take on Royal Enfield, the leader in the 350 cc motorcycle segment**

5 **Triumph and Harley-Davidson, through their partnership with Bajaj Auto and Hero MotoCorp, respectively, are eyeing the above 350 cc segment**

6 **EV start-ups like Ola Electric, Revolt Motors, and Ultraviolet are challenging legacy manufacturers such as Hero and Honda**